Coal India Limited Stock Analysis

COALINDIA.NS | February 27, 2026

Executive Summary

Coal India Limited (COALINDIA.NS) is India's leading coal producer and a Maharatna PSU, playing a pivotal role in the energy sector. With a current market capitalization of ₹264,104 Cr and a bullish sentiment, the stock is poised for growth. The company's commitment to increasing production targets and significant capital investments in coal gasification projects underline its strategic importance in the country's power generation and steel industries. Given its robust financial metrics, including a P/E ratio of 8.85 and a profit margin of 21.44%, Coal India presents an attractive investment opportunity, particularly for those seeking exposure to the energy sector in India.

Company Overview

Founded in 1975, headquartered in Kolkata, India.

Engaged in producing and selling various types of coal.

Geographic Presence: India.

Coal India Limited operates primarily in the thermal coal industry, producing coking and non-coking coal essential for power generation and steel production. The company caters to diverse sectors, including cement, fertilizer, and industrial plants, ensuring a steady demand for its products. With over 2.2 lakh employees, Coal India maintains a significant market position, supported by its extensive network and strategic initiatives aimed at enhancing production capacity and efficiency.

Financial Performance

Revenue (TTM): ₹128,819.34 Cr

Net Profit (TTM): ₹29,859.13 Cr

EBITDA: ₹41,940.28 Cr

EPS: ₹48.47

Dividend Yield: 6.19%

Payout Ratio: 46.00%

Total Assets: ₹104,938.00 Cr

Profit Margin: 21.44%

Financial Analysis

Coal India Limited exhibits a strong financial profile characterized by substantial revenue and profit margins. The latest TTM revenue stands at ₹128,819.34 Cr, with a net profit of ₹29,859.13 Cr, reflecting its operational efficiency. The EBITDA of ₹41,940.28 Cr indicates solid cash flow generation capabilities, while the EPS of ₹48.47 signifies robust earnings per share. Furthermore, a dividend yield of 6.19% and a payout ratio of 46.00% highlight the company's commitment to returning value to shareholders. Overall, the financial health of Coal India is impressive, positioning it well for future growth.

Technical Analysis

Current Share Price: ₹429.00

52-Week High: ₹461.55

52-Week Low: ₹352.40

Market Capitalization: ₹264,104.00 Cr

Volume: 11.13 L

Average Volume: 76.87 L

PE Ratio: 8.85

Market Position & Competitive Landscape

Leading coal producer in India with a 63.13% promoter holding.

Competitive edge through significant market share in thermal coal.

Diverse product offerings catering to multiple industries.

Coal India Limited holds a dominant position in the Indian coal market, supported by its extensive operations and diverse product range. The company not only serves the power and steel sectors but also has a footprint in various other industries requiring coal. Its strong promoter holding of 63.13% reinforces stability while providing it with a competitive advantage. Additionally, the company's initiatives in coal gasification and renewable energy reflect its strategic foresight in adapting to market changes.

Current Market Sentiment

Overall Score: 28.1/100 - Bullish

News Sentiment: 47.3/100 - Strongly Bullish

Yahoo Finance Sentiment: 29.2/100 - Buy

Twitter Sentiment: 9.8/100 - Neutral

Recent Price Drop: 3% to ₹408.10, five-week low.

Target production of 780 million tonnes in FY24E, 12% increase.

Future Outlook & Growth Drivers

The future outlook for Coal India Limited appears positive, driven by ambitious production targets and strategic investments. The company aims to increase production to 780 million tonnes in FY24, marking a significant 12% growth. With plans to invest approximately ₹50,000 Cr in coal gasification projects, Coal India positions itself at the forefront of India's energy transition. Furthermore, forecasts suggest a steady earnings CAGR of 6.3% and a revenue CAGR of 9.4%, signaling a robust growth trajectory. These factors, combined with the company's strong ROE and consistent dividend payouts, make it a compelling investment opportunity.

Investment Recommendation

Current bullish sentiment indicates a favorable entry point.

Strong financial metrics support a buy recommendation.

Strategic investments in growth areas enhance future prospects.

Given the current market conditions and Coal India Limited's impressive financial health, a buy recommendation is warranted. The bullish sentiment surrounding the stock, coupled with strong financial metrics including a P/E ratio of 8.85 and a profit margin of 21.44%, suggests a favorable entry point for investors. Additionally, the company's strategic focus on expanding production capabilities and diversifying into clean coal initiatives further enhances its growth prospects, making it an attractive investment in the energy sector.

Risk Factors

Volatility in coal prices may impact revenue.

Regulatory changes in environmental policies.

Dependence on domestic coal demand and supply disruptions.

Execution risk associated with large capital projects.

Competition from renewable energy sources.

Economic downturn affecting industrial demand.

Conclusion & Next Steps

In conclusion, Coal India Limited presents a strong investment opportunity backed by solid financial performance and a positive market outlook. Stakeholders should monitor upcoming production targets and the progress of capital investments in clean coal technology. Potential investors are encouraged to consider entering the stock at current levels to benefit from future growth. Action items include continuous evaluation of market conditions and company-specific developments that could influence stock performance.